

The Signaling Reserve v2.3

Why the United States' SPR exchange has functioned as active price suppression rather than supply remedy – and the contested deadline on which both the buffer and the diplomacy now run.

A FORENSIC RECONSTRUCTION • V1 27 MAY • V2 / V2.1 29 MAY • V2.2 4 JUN • V2.3 AMENDED 11 JUN 2026 • DATA THROUGH 5 JUN (SPR) / 11 JUN (NEWS) • STATUS: FRAMEWORK COLLAPSED, RENEWED STRIKES, HORMUZ RE-DECLARED CLOSED – HARD BRANCH MATERIALIZING

WHAT CHANGED SINCE V1

Three new evidentiary developments forced material revision: (i) confirmation that the SPR draw is *accelerating* to the program's peak design rate (three consecutive ~9 mb/week prints through 22 May) even as crude eases, (ii) the prompt-physical spread did not re-widen on the diplomatic blow-up – it *compressed further*, with Asian grades flipping into outright contango (Dubai/Oman spot now *below* front-month), and (iii) a leaked 60-day MOU framework was disowned by both governments within 24 hours. The v1 "soft-landing" reading is therefore narrowed and recontextualized: the calm is real, but it is the signature of *managed* suppression on thin buffers, not of resolved scarcity. The hockey-stick risk identified by Rabobank's DeLaura – sized to a mid-July inflection – is now dated to *late July / first week August* with materially better evidence.

WHAT CHANGED IN V2.1 (SAME DAY)

Vice President JD Vance's late-29-May statement at Joint Base Andrews publicly acknowledged that U.S.–Iran negotiations are real, "in good faith," and stuck on specific named points (highly enriched uranium stockpile, the question of enrichment), while preserving Presidential discretion to walk ("hard to say exactly when *or if* the President is going to sign"). This upgrades the credibility of the talks from "leaked-and-disowned" to "publicly acknowledged but not finalized." It does *not* reverse the v2 verdict but it shifts probability toward the soft branch and surfaces a third scenario – a partial/optical deal that resolves the nuclear file without explicitly reopening Hormuz – which v2.1 names as the most under-priced configuration. The verification ledger has also been trimmed of unverified attribution claims (system-dynamics lineage details) in favor of the data-driven core.

WHAT CHANGED IN V2.2 (4 JUN)

Three updates, two of which soften the v2 verdict and one of which sharpens the under-priced risk. (i) The SPR draw *decelerated* – the week to 29 May printed -8.0 mb (to 357.1 mb), the first slowing after three ~9 mb weeks. A taper as crude eases leans toward the benign "supply policy winding down" reading and is an honest, partial downgrade of the active-suppression inference (still ≈, now with a contrary data point). (ii) The spread series is re-based onto the Bloomberg futures benchmarks (CO1-COA, etc., front-month minus spot) for internal consistency; on this basis the late-May Gulf-grade contango is *deeper* than the prior Dated read showed (Dubai front-month sat \$11-16 above spot), strengthening the suppression evidence, while an early-June flip toward backwardation as the whole complex falls reads as de-escalation pricing in rather than fresh scarcity. (iii) A tentative 60-day MOU framework – ceasefire extension, Hormuz reopening with no tolls, 30-day mine-clearing, nuclear talks to follow – is now on the table but *unsigned*, with the maritime-control point and the HEU/enrichment file both unresolved and combat continuing during talks. Brent fell ~20% from its 2026 peak (worst month since the pandemic) as the market priced the soft outcome, leaving it positioned for resolution and under-hedged for failure. The net effect: probability shifts further toward a deal, but toward the *optical* branch – a signing that resolves the nuclear file and headline-reopens Hormuz without delivering full physical free passage – which remains the configuration the curve is least equipped to price.

WHAT CHANGED IN V2.3 (11 JUN)

The fork resolved – toward the hard branch, and earlier than the buffer clock alone implied. (i) The deal did not sign: around 1 June Washington sent the MOU draft back demanding Iran end its control of the strait immediately on signing and pin down nuclear timing; Tehran hardened the other way, insisting any Hormuz mechanism is for Iran, Oman and the bordering states and that the U.S. "has nothing to do with it." (ii) It then escalated into renewed war – a U.S. helicopter downed near the strait, two days of U.S. strikes on Iran (9-10 Jun), Iranian retaliation against U.S. facilities in Bahrain, Jordan and Kuwait, and Iran re-declaring the strait closed (denied by U.S. Central Command). (iii) The price turned back up – Brent climbed back toward ~\$95 on the escalation – and the macro transmission surfaced: energy-led U.S. inflation pushed above 4%, with commercial crude drawing for a seventh straight week. (iv) On the curve, Brent had already flipped into mild backwardation (front ~\$2.5-2.8 below spot) on 1-4 June before the data feed's spot field broke (spot = front-month thereafter, mechanical zeros excluded). (v) The SPR drew to 349.2 mb (-7.9 mb to 5 Jun) – the ~8 mb taper holding rather than snapping back to peak, which continues to lean the suppression-intent inference toward benign. Net: the optical/soft branches receded; the hard branch is the one materializing, triggered by diplomatic collapse and renewed closure ahead of the late-July/early-August buffer-exhaustion date the paper still dates. The market that was positioned for resolution is now repricing toward failure.

ABSTRACT

In March 2026 the U.S. authorized a 172-million-barrel release from the Strategic Petroleum Reserve, structured as an *exchange* (loan-with-premium) rather than a sale, as its share of a coordinated 400-million-barrel IEA action against the Strait of Hormuz disruption. This paper reconstructs, from the EIA weekly inventory series, market spreads, and intraday tape, the gap between the program's *announced* parameters (172 mb; ~1.43 mb/day) and its *realized* execution (~66 mb delivered through 5 Jun; ~0.8 mb/day overall, peaking near ~1.30–1.42 mb/day before settling near ~1.13 in the latest weeks). The release is shown to be physically incapable of clearing a 9–13 mb/day net Hormuz shortfall on its own. Its observable function, refined in v2, is **active suppression**: simultaneously pressing the prompt physical market (SPR barrels into spot) and the forward curve (announcement effect), aided by suppressed Chinese imports – three downward pressures on a market that would otherwise reveal the deficit. The compression is dated: remaining contracted SPR deliveries exhaust in late July / first week August at recent draw rates, which is also when independent analysts forecast Chinese demand to resume. The diplomatic resolution that would prevent reconciliation through dislocation has *not* arrived; a 60-day framework (ceasefire extension, Hormuz reopening, mine-clearing) has been tabled, sent back in early June over the maritime-control point, and then collapsed into renewed U.S.–Iran strikes by 9–11 June, with Iran re-declaring the strait closed (disputed by U.S. Central Command) and crude turning back up toward ~\$95. The crude reconciliation, the SPR contracted exhaustion, and the contested ceasefire window still converge on the same six-to-eight-week period – a configuration the paper terms the **contested deadline** – but the dislocation has begun arriving early, via diplomatic breakdown rather than buffer exhaustion.

01 Summary

THE ARGUMENT IN ONE SCREEN – V2.3

A strategic reserve is a **stock**; a supply crisis is a problem of **flow**. The 2026 SPR release cannot resolve the deficit at any plausible delivery rate; what it can do is buy time by pressing both ends of the futures curve down at once. v2 evidences this directly.

(i) The headline is a ceiling, not a delivery. Of 172 mb authorized, ~133 mb contracted across four tenders, ~66 mb physically delivered through 5 Jun. Realized lift averaged ~0.8 mb/day overall; only the late-May weeks reached the advertised ~1.30–1.43 mb/day pace before the most recent weeks settled near ~1.13.

(ii) The drawdown ran at peak rate, then settled near ~8 mb. Weekly draws of –8.6, –9.9, –9.1, –8.0, then –7.9 mb (week to 5 Jun, stock 349.2 mb). The three middle weeks were the fastest consecutive prints on record – DOE at the design ceiling even as crude fell, the core v2 suppression evidence. The last two weeks settled into a mild taper that has *held* rather than snapping back to peak – the data most consistent with the *benign* reading (supply policy easing as the acute phase passes), and a standing, if partial, mark against the strong form of the suppression call.

(iii) Deep contango, an unwind into backwardation, then re-tightening on escalation. On the Bloomberg futures basis (front-month minus spot), the grades nearest Hormuz showed the prompt crushed *below* the future through late May – Dubai front-month \$11–16 above spot, outright contango – the mask of a deficit held down by SPR supply and absent Chinese demand. From 1 June Brent flipped from mild contango (+\$0.9 on 29 May) into mild backwardation (–\$2.7 by 4 Jun); read at the time as de-escalation pricing in. After 3–4 June the data feed's spot field broke (spot = front-month, mechanical zeros, excluded). Then the 9–11 June escalation – renewed strikes, Hormuz re-declared closed – turned the outright price

back up (Brent toward ~\$95), the prompt-premium direction the hard branch predicts, though the broken feed means the post-escalation spread itself is not yet cleanly measured.

(iv) **The contested deadline is dated.** Remaining contracted SPR (~67 mb after ~66 mb lifted) at recent ~8 mb/week draw exhausts $\approx$ late July / first week August. Rabobank's DeLaura independently dates the hockey-stick inflection to mid-July. The tabled MOU framework runs 60 days. Three independent clocks still converge on the same window.

(v) **Retail products are a separate, structural clock – now feeding the macro.** US average gasoline eased to ~\$4.79 by 9 Jun (below the \$5.47 all-time high) on the structural refining picture (seven closures since 2019, ~92% utilization, lowest finished-fuel inventories since 2000) – but that print pre-dates the 9–11 Jun escalation and retail lags. The transmission the paper anticipated has now surfaced: energy-led U.S. inflation pushed above 4%, which sharpens the political stakes of the contested deadline even as it does nothing to add refining capacity.

NEW IN V2 · SUPPRESSION

The SPR exchange is not failing to be a supply remedy by accident – it was never structured to be one. Its function is **active price suppression**: pressing the prompt market down with finite physical barrels and the forward curve down with announcement effects, in service of buying time for diplomacy. The barrels and the signal are spent in the same act. When the barrels run out, the signal dies with them.

The contested deadline has, for now, resolved toward confrontation rather than a signed bargain. The two clocks remain: the U.S. supply-buffer clock (SPR drawn to 349 mb, ~67 mb of contracted barrels left, the draw holding ~8 mb/week) and the Iranian revenue/blockade clock (export losses every day Hormuz stays shut). But rather than wait out the buffer, Washington chose force – the escalation path the risk section named – while Tehran insists the strait is its and the bordering states' affair. The market that spent late May pricing the soft outcome is now repricing toward failure; the scoreboard turned, ahead of the buffer-exhaustion date the clocks still point to.

02 Thought Process

HOW THE QUESTION UNFOLDED – EXTENDED IN V2

Stage 1 — The accounting question

Was the exchanged oil still booked as SPR inventory while physically gone?

Directionally the instinct was right (an exchange retains a government claim recorded as a receivable), but the suspicion landed in the wrong ledger. The EIA series is physical and draws down on lifting.

Stage 2 — The execution forensics

Reading the four tenders against the weekly inventory series revealed the awarded-versus-delivered gap and the realized lift rate – roughly half the advertised pace for most of the program, only reaching the plan in its latest weeks. The advertised "1.43 mb/day" was real *as a plan*; delivery only approached it as the program matured.

Stage 3 — The scale test

Setting realized lift against the net Hormuz shortfall (~9–13 mb/day) showed the release covers a fraction of the gap for a limited duration. A physical remedy it is not.

Stage 4 — The mechanism & the clock

If not supply, then signal: the program suppresses the forward curve and buys time. That reframes "when does it end?" as "when are the physical and expectations markets forced to reconcile?" — a question answered by the prompt-versus-deferred spread.

Stage 5 (new in v2) — The suppression mechanism, visible

The late-May spread data and the SPR prints together force the v2 conclusion. The Gulf-grade curve did not behave as v1's "convergence" framing predicted — through late May the prompt was pressed *below* the future (Dubai front-month \$11–16 over spot), outright contango, while DOE drew at the design ceiling: *both* spot and futures pressed down at once — SPR barrels into the prompt market, forward-curve guidance for the paper market, suppressed Chinese demand removing global pull. The contested deadline has now settled that question the other way. The early-June backwardation flip was not a managed hand-off to a real deal; within days the framework was sent back, the talks collapsed, and renewed strikes turned the price back up. The calm was bought; when the diplomacy that the barrels were buying time for failed to arrive, the suppression began to give way to the dislocation it had deferred — arriving via diplomatic breakdown ahead of, not because of, the buffer running dry.

Stage 6 (new in v2) — The contested deadline

If the suppression is active and finite, then its duration is the strategic variable. Both negotiating parties can compute the buffer-exhaustion date from public data. Iran's incentive is to delay any concession until that date approaches and U.S. leverage decays; the U.S. incentive (per Trump's "we'll out-wait him") is to deny that any concession is forthcoming on Iran's clock. The leaked-but-mutually-disowned MOU

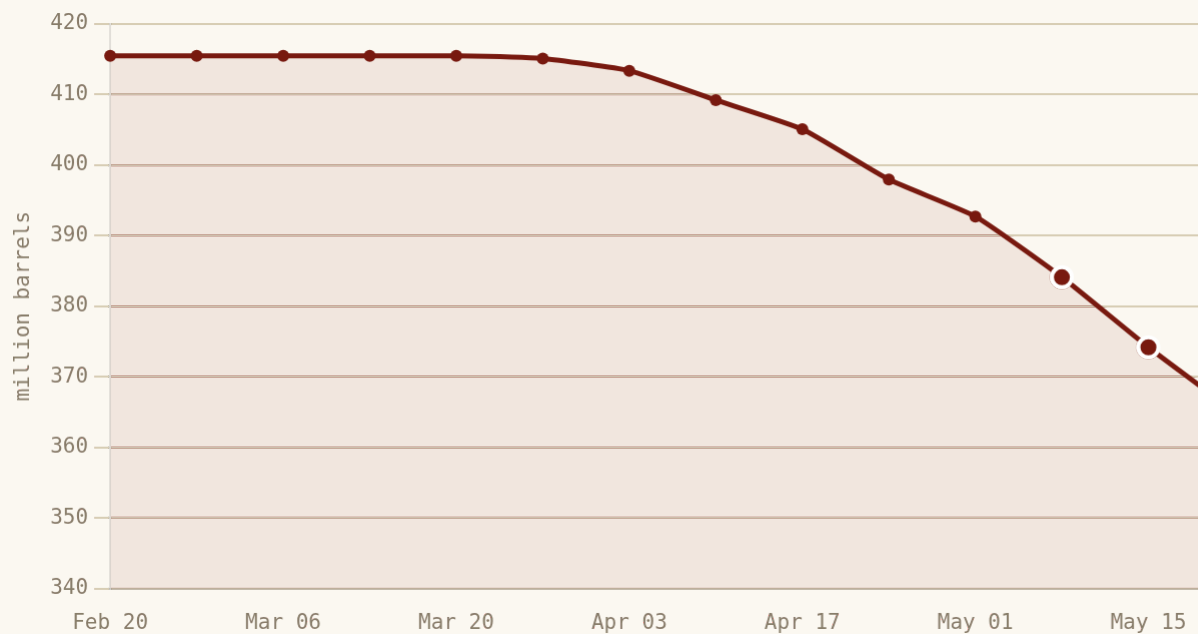
was sized to 60 days – almost exactly the remaining contracted SPR delivery window. The market structure and the diplomatic structure are now visibly synchronized to the same date.

03 Proof

THE DATA, RECONSTRUCTED AND UPDATED

FIGURE 1 • EIA WCSSTUS1 – UPDATED THROUGH 5 JUN

SPR physical inventory — flat month, ramp to the design ceiling, now holding off peak



Source: EIA weekly series, thousand barrels. Inventory flat at ~415.4 mb for a month after the 13 Mar announcement, then accelerating through April-May to three consecutive record draws (May 8, 15, 22), before settling to -8.0 and -7.9 mb in the two weeks to 5 Jun (349.2 mb). The draw is holding near ~8 mb rather than re-accelerating. Total drawdown to 5 Jun ≈ 66.2 mb of the ~133 mb contracted.

The weekly drawdown ledger — accelerating

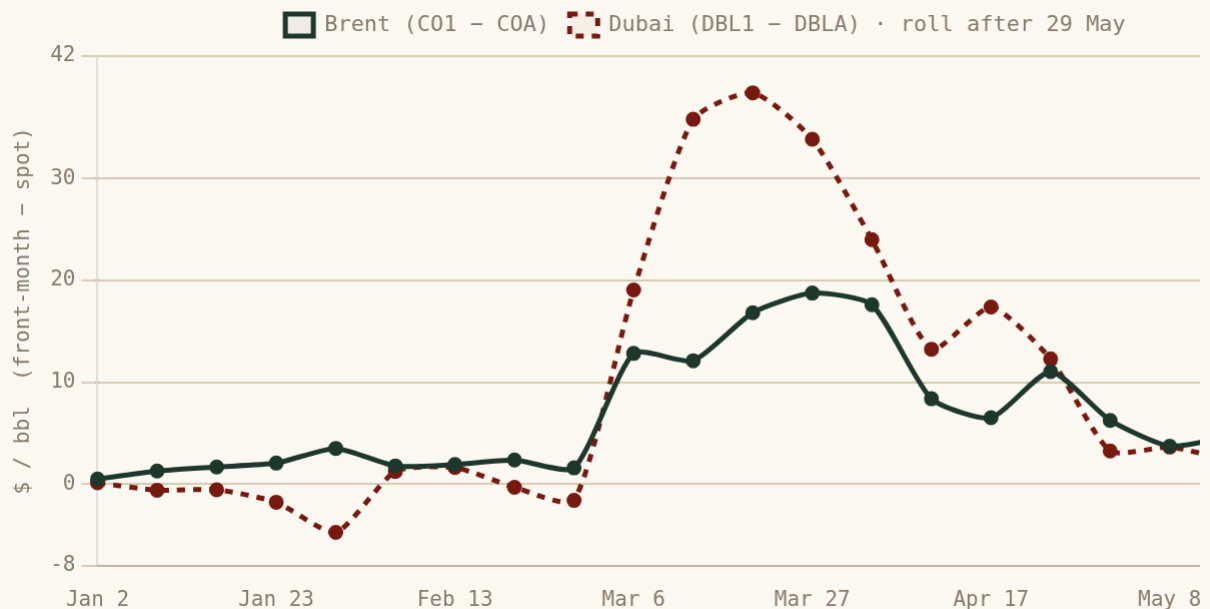
WEEK ENDING	STOCK (MB)	Δ WEEK (MB)	IMPLIED MB/DAY
Feb 20 – Mar 20	415.44	~0.00	~0.0
Mar 27	415.06	-0.38	0.05
Apr 03	413.33	-1.74	0.25
Apr 10	409.18	-4.14	0.59
Apr 17	405.05	-4.14	0.59
Apr 24	397.92	-7.12	1.02
May 01	392.70	-5.22	0.75
May 08	384.10	-8.61	1.23
May 15	374.18	-9.92	1.42
May 22	365.11	-9.06	1.30
May 29	357.12	-7.99	1.14
Jun 05 (v2.3)	349.19	-7.93	1.13

The highlighted rows are the v2 evidence and the v2.2–v2.3 qualifier. The three middle weeks ran at the design ceiling even as crude and the forward curve declined – the cleanest sign DOE was spending barrels at peak rate *to maintain* the easing. The two most recent prints (-8.0, -7.9 mb) have *settled* into a mild taper rather than re-accelerating. Read against §06's distinguishing test, that matters: even now, with the strait re-declared closed and the deal collapsed, the draw has not snapped back to peak – which leans the suppression-intent inference toward benign (supply policy easing) rather than active management. v2.3 records two consecutive sub-peak weeks as a standing, if still circumstantial, mark against the strong form of the suppression read.

The prompt-physical spread — compressed past convergence

FIGURE 3 • FRONT-MONTH MINUS SPOT (BLOOMBERG FUTURES BASIS)

From pre-war calm to war-onset contango blowout to the June unwind



Weekly series on the Bloomberg futures basis, **front-month minus spot** (C01-COA, DBL1-DBLA): *positive* = *contango* (prompt below the future), *negative* = *backwardation* (prompt premium). Pre-war (Jan-Feb) the spreads sit near zero – a normal market. From the late-Feb war onset the Gulf-proximate Dubai grade blows out into extreme contango, front-month peaking ~\$38 above spot in mid-March – the prompt crushed far below the future even as a supply crisis was supposedly raging, the central anomaly the suppression thesis explains. The contango compresses through April-May, with a late-May Dubai re-widening (~+\$15) and Brent then flipping to mild backwardation (-\$2.7 by 4 Jun) as the whole complex falls ~20% from peak. Note: the Dubai post-29-May points are a July-August contract-roll artifact, omitted rather than shown as real convergence; the clean post-roll Asian spread is the next confirming datapoint. After 3-4 June the spot field of the feed broke (spot = front-month, mechanical zeros, excluded), so the 9-11 June escalation that turned the outright price back toward ~\$95 and re-closed the strait is *not* captured in the spread series here – for that, the outright price and the closure status (news) lead the broken spread.

The deep Gulf-grade contango is the cleanest single piece of evidence in the paper. A genuine 9–13 mb/day net Hormuz deficit cannot coexist with the grades nearest Hormuz trading \$11–16 *below* their own front-month. The only way both are true at once is if the prompt is being masked by active physical supply (SPR barrels reaching the spot window) and absent demand (China) – both dated, both finite. On the Bloomberg basis the effect is larger than the prior Dated read showed. The early-June unwind toward backwardation, occurring as the whole complex falls rather than rises, is consistent with the suppression being relaxed into a market pricing de-escalation – not with a deficit reasserting. That distinction is the soft-vs-hard fork, and it turns on whether a deal actually signs.

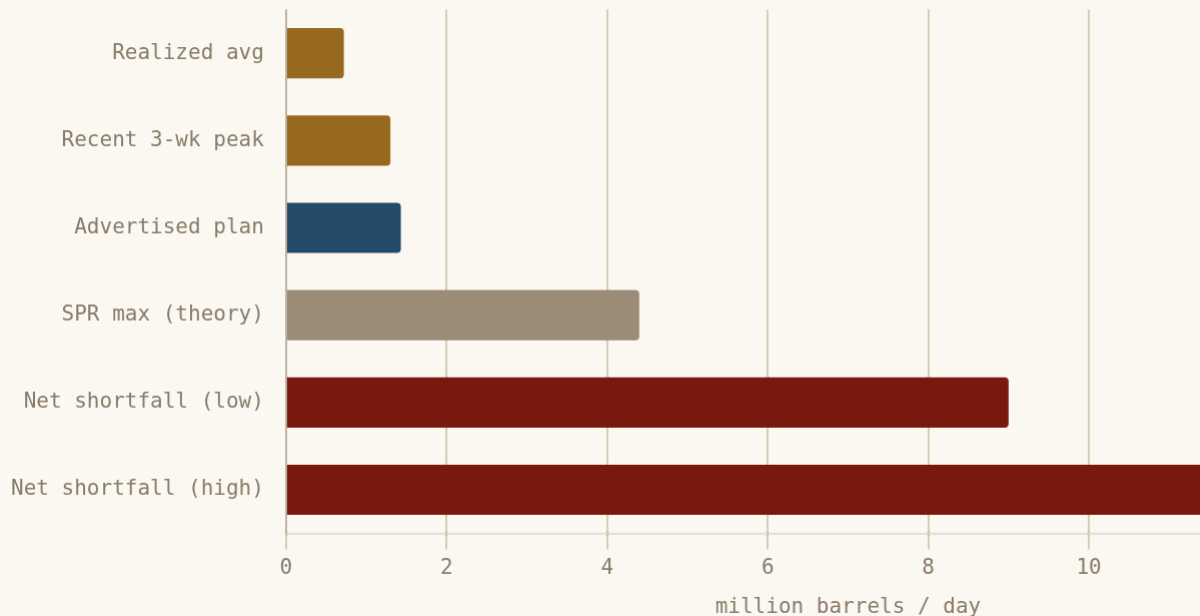
The intraday signature — both ends pressed down together

On 28 May, WTI front-month and Brent front-month rallied in lockstep on truce headlines to +4%, then faded together as the framework was disowned. The two benchmarks moved as one across the session – the signature of a market pricing a single global signal (the diplomatic clock) rather than independent fundamentals. The fade pattern repeats the cycle observed since March: rally on resolution-hope, fade as substance fails to arrive. Each cycle consumes barrels and credibility.

Announced vs. realized vs. the deficit

FIGURE 2 • SCALE COMPARISON

What was promised, what moved, what was needed (mb/day)



Even the recent-3-week peak lift (~1.30) is far below the net Hormuz shortfall (~9-13). The reserve's theoretical maximum (~4.4) still could not clear the deficit. Physical remedy was never the available function.

Analyst voices — the consensus that emerged independently

JOE DELAURA • RABOBANK • 28 MAY

"The oil market is very complacent right now... By mid-July – if China starts importing again when the SPR releases end – we are in the hockey-stick-upward inflection point for so many refined products."

STANDARD CHARTERED RESEARCH • VIA OILPRICE / DISCOVERY ALERT

Identifies four price-suppression mechanisms each with an expiry timeline; warns futures will be "pulled up toward elevated physical benchmarks" unless a deal is struck. Confirms the record consecutive weekly SPR draws.

CHRIS WESTON • PEPPERSTONE GROUP • 28 MAY

"Markets are pricing in the prospect of a deal through a strong glass-half-full mindset; the scope for the parties walking away from the negotiating table remains a clear risk."

TRACY SHUCHART • RENEGADE RESOURCES • 10 MARCH

"300 to 400 million barrels is a number designed to move headlines for 48 hours; it is not a number designed to move molecules to where they are needed." (Published the day before the program launched; thesis subsequently validated by every metric in this paper.)

04 Verification

EVERY CLAIM, CHECKED AGAINST THE RECORD

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- ✓ **EIA series is physical, not receivable.** Confirmed via 2011 precedent and series definition. The 66.2 mb cumulative drawdown is real barrels gone.
VERIFIED — PRIMARY SOURCE
 - ✓ **Four tenders; ~133 mb awarded of 172 mb; ~66 mb delivered through 5 Jun.** Awarded total: 45.2 + 8.5 + 26 + 53.3 mb. Delivered confirmed against EIA weekly prints.
VERIFIED — DOE + EIA
 - ✓ **Record draws May 8–22, then a holding ~8 mb taper to 5 Jun.** –8.6, –9.9, –9.1 (three fastest consecutive prints on record per StanChart), then –8.0 and –7.9 mb to 349.2 mb. Two consecutive sub-peak weeks confirmed in the EIA series; the taper has held even through the escalation.
VERIFIED — EIA + STANCHART
 - ✓ **Gulf-grade deep contango → backwardation flip → feed break.** Dubai front-month \$11–16 above spot 26–29 May (contango); Brent +\$1–3 easing to –\$2.7 backwardation by 4 Jun. After 3–4 Jun the spot field broke (spot = front-month, zeros excluded), so the post-escalation spread is not cleanly measured; the outright price (~\$95) and closure status lead instead.
VERIFIED DATA THROUGH 4 JUN — FEED BROKEN AFTER
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- ✓ **Hockey-stick / mid-July inflection thesis.** Independently published by DeLaura (Rabobank, Bloomberg interview 28 May), Weston (Pepperstone), and the StanChart "four mechanisms" framework. Convergent across desks.

VERIFIED – MULTI-SOURCE CONSENSUS

- ✓ **Structural US refining tightness.** EIA forecast (Feb 2025, pre-war) projected 2026 fuel inventories to lowest since 2000; seven major closures since 2019 removed >1.2 mb/day capacity; utilization ~92%; late-May retail \$4.99–5.61 regionally on outages.

VERIFIED – EIA PRIMARY

- ✓ **60-day MOU framework collapsed into renewed war.** The draft (ceasefire extension, Hormuz reopening, 30-day mine-clearing, nuclear talks) was sent back ~1 Jun over maritime control and nuclear timing; Tehran insisted the strait is for Iran/Oman/bordering states and the US "has nothing to do" with it. Talks then broke down – a US helicopter downed near the strait, two days of US strikes (9–10 Jun), Iranian retaliation at US facilities in Bahrain/Jordan/Kuwait, Iran re-declaring the strait closed (denied by US CENTCOM). The optical/soft branches did not materialize.

VERIFIED – SOUFAN CENTER / AXIOS / AP / NBC

- ≈ **Active-suppression intent (vs. passive easing).** The peak-rate draw alongside deep Gulf-grade contango through late May is the smoking-gun pattern. But the draw has now held at ~8 mb for two weeks (to 5 Jun) *through* the escalation and re-closure – i.e. DOE did *not* snap back to peak when the strait stayed shut, which is the benign-leaning outcome of the distinguishing test as run so far. v2.3 weakens the strong form further: the suppression read is best held as "the program functioned as a price signal in the acute phase," not as evidence of ongoing covert management.

STRONG CIRCUMSTANTIAL – TEST RUNNING BENIGN SO FAR

- ≈ **Iran "run-the-clock" delay strategy.** Consistent with observable behavior (unresolved maritime point, "agreed on nothing" framing, leak-then-deny pattern) and with the matched 60-day duration. The 11 Jun collapse – and Trump's own "they are stalling" framing – is consistent with it, though the outcome (US escalation rather than concession) cuts against the premise that delay favored Tehran. Inference about intent, not provable from data.

WELL-REASONED HYPOTHESIS, NOT DATA-PROVEN

- ✓ **Escalation and re-closure (9–11 Jun).** US helicopter downed near the strait; two days of US strikes on Iran; Iranian retaliation at US facilities in Bahrain, Jordan, Kuwait; Iran re-declared the strait closed (US CENTCOM denied). Brent turned back toward ~\$95; energy-led US inflation above 4%; commercial crude down a seventh straight week.

VERIFIED — AP / NBC / OILPRICE / BRITANNICA

The pattern across the verification ledger is consistent: the data-driven claims survive, the attribution claims fray, the inference-about-intent claims sit as well-supported hypotheses awaiting their distinguishing tests. The paper distinguishes these tiers explicitly rather than collapsing them.

05 Outlook — Two clocks, one window

THE CONTESTED DEADLINE: LATE JULY TO FIRST WEEK AUGUST

The v1 framing — soft landing vs. hard reconciliation — is preserved but reorganized. The decisive variable is no longer "when do buffers exhaust" in the abstract; it is whose clock binds first in the contested deadline.

The U.S. supply-buffer clock

Remaining contracted SPR deliveries: ~67 mb of the ~133 mb awarded. At the recent ~8 mb/week draw, that exhausts in **~8 weeks — late July to first week August**, the date unchanged. Behind it, the operational floor (~150 mb) is ~199 mb from the current 349 mb stock; commercial crude is drawing for a seventh straight week, so there is little cushion behind the SPR. Independent forecast (DeLaura, Rabobank): Chinese demand resumes mid-July, removing the third suppressor. What v2.3 changes is the *trigger*: the dislocation no longer waits on buffer exhaustion. The 9–11 June collapse and re-closure have begun forcing the reconciliation early, with the buffer still ~67 mb from contracted-empty — so the buffer clock now sets the ceiling on how long any renewed suppression could even be attempted, not the timing of the break itself.

The Iranian revenue/blockade clock

Iran is bleeding export revenue every day Hormuz stays shut and the U.S. naval blockade holds. Iran has requested unfrozen access to \$12bn in frozen assets in the MOU – i.e. liquidity to span its clock. Aramco's ~100 mb/week global supply loss is matched by Iran's own stranded exports. Iran's clock binds whenever its FX/revenue position becomes politically unsustainable, which is unobservable from outside but is on its own decay path.

The three endgames

Soft (diplomatic, full) – receded: the 60-day MOU signs *and* delivers genuine free passage (no tolls, mines cleared, insurers treating the strait as open), crude reconciles to the deferred curve's ~\$65–70 anchor, products stay structurally elevated. This was the late-May base case the ~20% crude drop priced. As of 11 June it has receded sharply: the draft was sent back over the maritime-control point and the talks gave way to renewed strikes. It is not dead – a deal could still be reached – but it is no longer what the tape is pricing.

Middle (optical, the under-priced case): the MOU signs and headline-reopens Hormuz, but the reopening is partial – escorted, toll-laden, slow-to-clear-mines, or kept under Iranian "management" – so physical free flow lags the announcement. Futures rally on the signing; the suppression props (SPR, China) lift on schedule into a market whose *physical* deficit hasn't actually closed. The market briefly believes the deal is the resolution before discovering it is not. This is the configuration the curve is least equipped to recognize, and v2.2 raises its weight: the live sticking point is precisely maritime control, and an experienced commodities voice (ICMA's Parker) has publicly warned that even if Hormuz opens, the opening will likely be only partial, citing refinery damage, depleted inventories, and tanker-security frictions. The reported terms (no tolls, 30-day mine-clearing) describe the soft case; whether the signed text and the physical execution deliver it is the fork.

Hard (physical) – now materializing, early: the framework collapsed and the strait was re-declared closed before the buffer ran dry. Prompt physical began detaching upward (Brent back toward ~\$95; Brent already in mild backwardation on 1–4 Jun before the feed broke); refined-product and macro pressure show in energy-led

inflation above 4%. The distinctive v2.3 point: this branch is being triggered by *diplomatic breakdown and renewed closure*, not by SPR exhaustion – the buffer still has ~67 mb of contracted barrels. So the early dislocation lands into a market still partly cushioned, but one whose cushion is finite and whose positioning was set for resolution – the source of the violence if it continues.

The product clock — running independently underneath

Whichever crude branch resolves, U.S. refined products are on their own structural clock: EIA-forecast 2026 inventories at 2000-era lows, ~92% utilization, no spare capacity, seven major closures since 2019. A clean Hormuz deal cannot deliver consumer relief on the timeline a soft-landing crude resolution would imply. This decouples the political payoff of a deal from the diplomatic incentive to sign one – and arguably reduces the threshold at which the U.S. accepts unfavorable terms, since the deal does not buy as much retail relief as in past precedent.

06 Risk Assessment

WHAT WOULD CONFIRM OR FALSIFY THE SUPPRESSION AND CONTESTED-DEADLINE READS

RISK

The single distinguishing test for the suppression thesis: **whether DOE returns to peak ~9 mb/week draws if the strait stays shut, or keeps tapering toward a confirmed ceasefire.** The 29 May print already eased to -8.0 mb. If draws keep slowing as the deal firms, that argues benign supply policy and weakens the active-management read. If they snap back to peak rate while no real reopening lands, that is near-conclusive evidence of price management. The taper is one print, not a trend – but it is the first hard datapoint the test has produced, and it points benign.

Tells the soft branch is recovering. A *signed* MOU (not a "fully negotiated" claim amid strikes) with the maritime-control point resolved and mines clearing on schedule; a sustained ceasefire holding through more than a single news cycle; the outright price falling back toward the high-\$80s; gasoline resuming its decline once the escalation washes through.

Tells the hard branch is winning (several now present). Talks collapsed and the strait re-declared closed (present); outright Brent rising again toward/through \$95 (present); once the feed is restored, a Gulf-grade curve in steep, accelerating backwardation would confirm; SPR draws snapping back toward 9 mb/week as the floor nears (not yet – draw still ~8); Cushing toward minimums; product cracks blowing out further from crude; energy-led inflation climbing further from the >4% already printed.

Optical-deal risk (the under-priced middle case). A signed MOU that headline-reopens Hormuz without delivering physical free passage would trigger a futures rally while leaving the deficit broadly intact. Detection signal: a deal is announced but the post-roll Dubai/Oman spread does *not* normalize and tanker transits stay thin – the Asian physical market shows the truth first, because partial/escorted/tolled reopening appears in transit counts before headlines. Watch the Hormuz transit tally and the Dubai/Oman spread as the two independent verifiers of any announcement. ICMA's Parker has already flagged a partial opening as the likely case.

Positioning risk. A forward curve still anchored to resolution – the long end pinned near ~\$65–70 – leaves the market structurally under-hedged for failure. This is now playing out: the front is repricing up (backwardation, Brent toward ~\$95) while the long end has not moved off that anchor, the violent front-end move the structure invited.

Head-fake risk (now bilateral). The rally-fade-deny cycle has repeated since March; the 9–11 Jun episode shows it persists even amid live strikes – Trump calling the deal "fully negotiated" while ordering attacks. Discount both "deal imminent" *and* definitive "strait closed/open" claims (Iran asserted closure; US CENTCOM denied) until confirmed by both sides and by tanker-transit data, not headlines.

Escalation risk. Combat continued through the talks (US strikes in southern Iran; Iranian ballistic missiles toward Kuwait), raising the probability that the U.S. abandons negotiation for force if the clock runs out – which removes Iran's leverage but does not necessarily reopen Hormuz quickly.

Partial-reopening risk. An intermittent, escorted, tolled, or "Iranian-managed" reopening smears the binary into a prolonged muddy tightening, stretching the timeline and blunting both the supply-buffer urgency and the diplomatic incentive to settle. This is the same configuration as the optical branch and is now the live sticking point.

Data-latency and data-integrity risk. The SPR print is through 5 Jun; the spread feed's spot field broke after 3–4 Jun, so the post-escalation spread is not cleanly measured here and the outright price and closure status (news, 11 Jun) lead it. Gasoline is through 9 Jun, pre-spike. This market moves on single headlines; treat the verdict as a snapshot at this date, not a forecast.

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A reserve sized by stock-flow thinking is now being defended by exploiting the gap between stock and flow — but the same barrel cannot be both spent into the spot market and held as a buffer. The signal and the supply are spent in the same act. Conservation of matter sets the clock.

Sources & Notes — v2.3

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v2.3 working paper. Analytical reconstruction for informational purposes only – not investment, legal, or financial advice. Figures are from public reporting and may contain estimation error; China SPR / Chinese imports figures are analyst estimates as official data is not published. SPR data is through 5 Jun and price/spread data through 4 Jun 2026 (the feed's spot field broke afterward); diplomatic and price developments through 11 Jun are from news reporting and were actively evolving at time of writing, including disputed claims about the strait's closure status. The suppression thesis is strong-circumstantial and has been further softened by two consecutive sub-peak SPR draws holding through the escalation – its distinguishing test is running benign so far. The hard-branch verdict reflects events as of 11 Jun and could be reversed by a signed, executed deal. The contested-deadline and two-clocks framings are strategic-inference readings, not proven accounts of intent.